

Westpac PNG Economic Update

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PNG's economic outlook remains comparatively positive with non-resource sectors leading the way as big infrastructure projects faces further delays. While several structural challenges persist, the underlying momentum across the economy has improved. Middle East conflict and rising fuel prices could possibly deter growth outlook.



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Papua New Guinea entered 2026 with a relatively resilient macroeconomic position despite heightened global volatility from Middle East conflict and energy disruptions. Real GDP growth was strong at an estimated 5.5% in 2025, supported by mining, LNG, agriculture and services, but is expected to moderate to around 4.6% in 2026 as conditions normalize, led by non-resource sectors. Inflation remained contained at about 4% in late 2025, aided by GST exemptions and easing non-fuel prices, though rising global fuel costs pose upside risks through mid-2026.

Economic momentum improved early in 2026 as foreign exchange liquidity normalised, commodity prices remained firm and business confidence lifted. FX order backlogs fell sharply and allocation delays shortened significantly. However, gradual kina depreciation continues under the crawling peg, with further weakness expected through 2026 absent major project inflows.

The Papua LNG project remains central to the medium-term outlook but continues to face delays, with Final Investment Decision now expected no earlier than the second half of 2026. Under a baseline without Papua LNG, growth is forecast to moderate from 4.6% in 2026 to around 4% in the medium term. Construction and production phases would significantly lift growth once underway.

Downside risks intensified following the escalation of Middle East conflict, which triggered a global energy shock. Despite being an LNG exporter, PNG remains highly vulnerable due to reliance on imported refined fuels, limited storage capacity and a largely limited operational capacity of Napa Napa refinery. Fuel prices surged, prompting a K1 billion stabilisation package and price controls. Higher fuel, freight and electricity costs are expected to lift inflation from April 2026 and weigh on activity.

Compounding pressures include Cyclone Maila's humanitarian impact, infrastructure damage, ongoing law and order challenges, and election-related fiscal demands. While reforms in digitalisation, energy regulation and public-sector delivery have progressed, PNG's outlook remains stable but highly exposed to energy shocks and delayed investment decisions.

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